

AUTO RITE IT
PERSONAL DATA

The Minister for Legal Protection

Mr. S. Dekker

P.O. Box 20301

2500 EH The Hague

Date

September 9, 2021

Subject

Our reference

z2021-11497

Contact person

070 8888500

Advice on the draft bill for online incorporation of private limited companies (BV's)

Dear Mr. Dekker,

Authority Personal Data

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Your letter dated

June 15, 2021

Your reference

3294056

In your letter dated June 15, 2021, the Authority Personal Data (AP) was consulted pursuant to the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft amendment to Book 2 of the Civil Code and the Notaries Act (Wna) in connection with the implementation of Directive (EU) 2019/1151 of the European Parliament and the Council of June 20, 2019, amending Directive (EU) 2017/1132 regarding the use of digital tools and processes in the context of company law (hereinafter: the draft).

The AP has a number of comments on the draft and advises that these be taken into account.

Scope of the draft

The draft aims to implement Directive (EU) 2019/1151 regarding the use of digital tools and processes in the context of company law (hereinafter: the directive).¹ The draft provides for the online incorporation of private limited companies (BV's); public limited companies (NV's) are currently excluded from the possibility of online incorporation.² The online incorporation of BV's serves to promote the freedom of establishment within the EU and is opened up within the draft to anyone who can participate in the digital procedure, including those from outside the EU, to enhance the attractiveness of the Netherlands as a place of establishment.³

The draft aims to have the Royal Notarial Professional Organization (KNB) establish and manage a system through which the incorporation of BV's can take place digitally.⁴ The system must meet the conditions mentioned in the proposed Article 53d, first paragraph, of the Notaries Act. It must, among other things, enable the identification of the parties, witnesses, interpreters, proxies, and the notary, as well as the signing of the electronic notarial deed and the power of attorney. The identification of the aforementioned parties takes place according to Article 53d, fourth paragraph, part d of the Wna, through the electronic identification means. This involves the use of an electronic identification means with a high level of reliability.⁵

In addition, the system must establish an audio-visual connection. The proposed Article 53d, fourth paragraph, part c of the Wna requires a direct audio-visual connection that provides a faithful representation of what is happening at that moment in the spaces where the aforementioned parties

are located. This connection is important for enabling the notary to fulfill their duty of care,⁶ and can also play a role in verifying the identity of the applicant,⁷ for example, by showing a physical identification means.

If the notary has reason to suspect that identity fraud has been committed in a specific case, they may request the physical presence of the parties to verify their identity using a document as referred to in Article 1 of the Identification Duty Act. This is only possible when this step is justified to prevent identity misuse or alteration.⁸ A similar exception applies when there is a suspicion that the rules regarding legal capacity and representation authority are not being complied with.⁹

In addition to the notary's verification, there is an obligation to investigate on the part of the Chamber of Commerce based on Article 4, first paragraph, of the Trade Register Decree. They must ascertain to a certain extent 'whether a declaration originates from someone who is authorized to make it, and whether the declaration is correct.'¹⁰

Advice

Processing risks regarding the digital incorporation of BV's

Article 5, first paragraph, part d of the GDPR requires that personal data be accurate. The accuracy and completeness of personal data are assessed based on the purposes for which they are processed.

3 Explanation, pp. 1-2.

4 Article 53d, first paragraph, Wna (draft); explanation, p. 14.

5 Article 53a Wna (draft).

6 Explanation p. 15. See also the Wna and the Act on the Prevention of Money Laundering and Terrorist Financing (Wwft).

7 Explanation, pp. 17-18.

8 Article 53g, second paragraph, Wna (draft); Article 39, first paragraph, Wna.

9 Article 53g, third paragraph, Wna (draft).

10 See for example CBb 12-03-2014, ECLI:NL:CBB:2014:1034; CBb 01-12-2011, ECLI:NL:CBB:2011:BU7274.

2/4

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11 In the case of the establishment of BV's (private limited companies) via electronic means and the registration of such established BV's in the trade register, the principle of accuracy requires, among other things, that the identity of the director is correct and that the director is authorized to represent the company. Verification of the accuracy of this information is important for legal certainty in economic transactions, for preventing fraud and deception, and with a view to preventing money laundering and the financing of terrorism.

12 The principle of accuracy falls under the responsibility of data controllers according to Article 5, second paragraph, of the GDPR. When the processing of personal data is required by law, the processing responsibility lies with the norm addressee - in this case, the KNB (Royal Notarial Association), the notary, and the Chamber of Commerce.¹³ However, the legislator retains an important role in determining the objectives of and the means for the processing of personal data in order to monitor the propriety and legality of these processes.¹⁴ The legislator is also obliged under Article 13 octies of the directive to provide for regulations through which the identity and authority of the applicant are verified.

The proposal prescribes the use of an electronic verification tool with high reliability as the main safeguard for verifying the identity and authority of the applicant. In addition, the proposal provides for the use of an audio-visual connection, as well as the possibility to request the physical presence of the

parties, but only when the notary has reason to suspect that identity fraud has been committed or that the rules regarding competence and authority have not been complied with.

The Dutch electronic identification tool with high reliability is DigiD Hoog. Under the current eIDAS regulation, electronic identification tools are approved through a peer review in which participants from multiple member states participate.¹⁵ Some peer reviewers have expressed concerns about the way in which the PIN code can be restored when using DigiD Hoog. For this reason, the Netherlands has committed to investigating additional identification measures. This may include in-person identification when the recovery code is retrieved or sent by registered mail.¹⁶ Questions may also be raised regarding the reliability of an electronic audio-visual connection. It is possible that the connection does not provide a 'true-to-nature representation of what is taking place at that moment in the spaces where the appearing persons, witnesses, and the notary are located.'¹⁷

Shortcomings in the technical and organizational procedures through which the identity of the applicant is verified are all the more risky when it concerns companies outside the Netherlands or even outside the EU, as it may be more difficult for the notary and the business community to recognize fraud, deception, or money laundering practices.

In light of the above, it is of great importance that, as indicated in the explanation, the concept does not detract from the notary's obligation to refuse his or her service when Article 21, second paragraph, of the Wna (Notaries Act) is applicable.¹⁸ Nevertheless, there is also a responsibility on the legislator to consider whether it is necessary to provide additional safeguards to ensure the accuracy of personal data.

The AP (Dutch Data Protection Authority) advises, in light of the above, to justify whether the methods for verifying the identity and authority of the applicant are sufficient to assess the accuracy of the data provided by him or her.

Disclosure of the advice

The AP intends to publish this advice after four weeks on the website

www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Sincerely,

Dutch Data Protection Authority,

Katja Mur

Board Member

¹⁷ Article 53d, fourth paragraph, part c, Wna (draft).

¹⁸ Explanation, p. 18.